ANNUAL OPERATING BUDGET

Kingsley Suites | Oklahoma City, OK

Property	Kingsley Suites
Fiscal Year	2022
Submitted By	Orion Commercial Management
Submitted	July 10, 2025

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$274,097	$265,235	$278,884	$4,786	1.7%	$1,166.88
5010 Loss to Lease	$232,616	$242,790	$256,449	$23,833	10.2%	$1,073.01
5020 Vacancy Loss	$339,808	$341,574	$346,375	$6,567	1.9%	$1,449.27
5030 Concessions	$345,918	$349,137	$350,424	$4,507	1.3%	$1,466.21
5040 Bad Debt	$146,891	$135,763	$137,495	-$9,396	-6.4%	$575.29
5050 Late Fees	$247,888	$244,677	$246,317	-$1,570	-0.6%	$1,030.62
5060 Utility Reimbursements	$84,352	$81,603	$83,436	-$917	-1.1%	$349.10
5070 Parking Income	$382,142	$387,199	$410,943	$28,802	7.5%	$1,719.43
5080 Application Fees	$376,257	$382,565	$402,997	$26,741	7.1%	$1,686.18
5090 Pet Rent	$367,931	$354,767	$359,220	-$8,712	-2.4%	$1,503.01
5100 Laundry Income	$158,865	$166,532	$167,984	$9,119	5.7%	$702.86
5110 Cable/Internet Revenue	$396,390	$364,793	$377,106	-$19,284	-4.9%	$1,577.85
5120 CAM Reimbursements	$353,117	$371,709	$384,273	$31,156	8.8%	$1,607.84
5130 Tax Reimbursements	$60,341	$56,336	$58,008	-$2,333	-3.9%	$242.71
5140 Insurance Reimbursements	$185,549	$196,867	$204,831	$19,281	10.4%	$857.03
5150 Percentage Rent	$356,041	$343,927	$352,660	-$3,381	-0.9%	$1,475.57
5160 Misc. Income	$40,091	$39,412	$40,486	$395	1.0%	$169.40
5170 Payroll - Management	$49,735	$46,096	$46,617	-$3,117	-6.3%	$195.05
5180 Payroll - Leasing	$160,566	$149,499	$158,384	-$2,182	-1.4%	$662.69
5190 Payroll - Maintenance	$171,960	$165,194	$170,567	-$1,394	-0.8%	$713.67
5200 Payroll Taxes & Benefits	$62,834	$67,837	$71,491	$8,657	13.8%	$299.12
5210 Repairs - Plumbing	$320,792	$305,939	$318,922	-$1,870	-0.6%	$1,334.40

Report generated 07/10/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5400 Advertising	$272,966	$266,819	$280,818	$7,852	2.9%	$1,174.97
5410 Resident Events	$52,821	$56,370	$57,140	$4,318	8.2%	$239.08
5420 Office Supplies	$308,927	$296,991	$316,780	$7,853	2.5%	$1,325.44
5430 Legal & Professional	$303,969	$320,053	$327,549	$23,580	7.8%	$1,370.50
5440 Accounting & Audit	$213,443	$204,260	$216,278	$2,836	1.3%	$904.93
5450 Licenses & Permits	$241,513	$260,403	$271,861	$30,348	12.6%	$1,137.49
5460 Management Fee	$36,235	$39,027	$39,294	$3,059	8.4%	$164.41
5470 Property Insurance	$165,539	$170,404	$175,069	$9,530	5.8%	$732.51
5480 Real Estate Taxes	$363,784	$354,033	$363,890	$106	0.0%	$1,522.55
5490 Asset Management Fee	$234,528	$219,391	$229,247	-$5,281	-2.3%	$959.19
5500 Replacement Reserves	$96,872	$101,946	$102,502	$5,629	5.8%	$428.88
5510 Roof Repairs	$362,649	$352,616	$353,246	-$9,402	-2.6%	$1,478.02
5520 Parking Lot Repairs	$282,843	$292,768	$296,991	$14,148	5.0%	$1,242.64
5530 Signage	$88,376	$81,575	$85,784	-$2,592	-2.9%	$358.93
5540 Tenant Improvements	$393,034	$412,675	$423,140	$30,105	7.7%	$1,770.46
5550 Leasing Commissions	$256,448	$236,155	$238,424	-$18,024	-7.0%	$997.59
5000 Gross Potential Rent	$148,027	$154,512	$161,641	$13,614	9.2%	$676.32
5010 Loss to Lease	$75,809	$78,357	$83,322	$7,513	9.9%	$348.63
5020 Vacancy Loss	$303,486	$291,646	$291,815	-$11,671	-3.8%	$1,220.99
5030 Concessions	$162,491	$174,979	$176,453	$13,962	8.6%	$738.30
5040 Bad Debt	$30,701	$30,549	$30,960	$259	0.8%	$129.54
5050 Late Fees	$355,349	$358,294	$383,068	$27,719	7.8%	$1,602.79
5060 Utility Reimbursements	$313,431	$300,379	$316,775	$3,344	1.1%	$1,325.42
5070 Parking Income	$194,128	$180,026	$190,294	-$3,834	-2.0%	$796.21
5080 Application Fees	$305,202	$296,961	$315,330	$10,127	3.3%	$1,319.37
5090 Pet Rent	$49,957	$47,963	$49,367	-$590	-1.2%	$206.56
5100 Laundry Income	$180,932	$191,489	$197,995	$17,062	9.4%	$828.43
5110 Cable/Internet Revenue	$261,129	$243,486	$258,288	-$2,841	-1.1%	$1,080.70
5120 CAM Reimbursements	$20,384	$20,608	$20,645	$261	1.3%	$86.38
5130 Tax Reimbursements	$88,847	$92,307	$97,222	$8,375	9.4%	$406.79
5140 Insurance Reimbursements	$132,860	$142,356	$151,787	$18,928	14.2%	$635.09
5150 Percentage Rent	$390,865	$373,097	$388,480	-$2,385	-0.6%	$1,625.44
5160 Misc. Income	$319,151	$300,721	$302,912	-$16,239	-5.1%	$1,267.41
5170 Payroll - Management	$405,109	$412,989	$435,896	$30,787	7.6%	$1,823.83
5180 Payroll - Leasing	$322,098	$335,525	$357,460	$35,361	11.0%	$1,495.65
5190 Payroll - Maintenance	$288,182	$308,155	$323,318	$35,136	12.2%	$1,352.80
5200 Payroll Taxes & Benefits	$158,537	$151,124	$156,852	-$1,685	-1.1%	$656.29
5210 Repairs - Plumbing	$227,175	$232,759	$243,750	$16,576	7.3%	$1,019.88
5220 Repairs - HVAC	$201,043	$203,850	$205,831	$4,787	2.4%	$861.22
5230 Repairs - Electrical	$122,149	$131,755	$137,294	$15,145	12.4%	$574.45

Report generated 07/10/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Income and Expense Review

Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 23 meeting rooms. Operating expenses totaled $96,000 or approximately 14.43 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.17x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $401,000, representing a 8.8% increase over the prior year. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The going-in capitalization rate of 6.54% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 26 hours. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 37 meeting rooms. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 11 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The manager completes a monthly walk of the property and submits a variance report to the owner by the 35th business day.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 36 meeting rooms. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Financial Analysis

Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. Trailing twelve-month occupancy was 96.4% with an average daily rate of $164 and RevPAR indexing above the competitive set. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. Operating expenses totaled $288,000 or approximately 18.37 per square foot, with real estate taxes representing the largest line item.

Debt service coverage ratio was 6.12x on a trailing basis against a covenant minimum of 1.20x. Trailing twelve-month occupancy was 96.5% with an average daily rate of $164 and RevPAR indexing above the competitive set. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 23 meeting rooms. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $348,000, representing a 9.1% increase over the prior year. Operating expenses totaled $146,000 or approximately 15.53 per square foot, with real estate taxes representing the largest line item.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. Service requests are tracked through a work-order system with an average completion time of 18 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 31th business day. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 38 meeting rooms. Trailing twelve-month occupancy was 91.7% with an average daily rate of $164 and RevPAR indexing above the competitive set.

Collections for the period were 93.0% of billed charges, with bad debt of 6.4% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 27 meeting rooms. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 94.2% with an average daily rate of $164 and RevPAR indexing above the competitive set. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Financial Analysis

Trailing twelve-month occupancy was 95.0% with an average daily rate of $164 and RevPAR indexing above the competitive set. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Effective gross income for the trailing period was $320,000, representing a 4.3% increase over the prior year. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5300 Janitorial	$404,872	$382,862	$389,044	-$15,828	-3.9%	$1,627.80
5310 Pest Control	$158,487	$157,332	$158,628	$141	0.1%	$663.72
5320 Trash Removal	$391,842	$368,853	$369,275	-$22,568	-5.8%	$1,545.08
5330 Elevator Contract	$325,432	$323,281	$326,447	$1,015	0.3%	$1,365.89
5340 Fire & Life Safety	$121,479	$116,115	$123,018	$1,540	1.3%	$514.72
5350 Security	$408,864	$418,626	$434,248	$25,384	6.2%	$1,816.94
5360 Electricity - Common	$363,745	$373,884	$394,759	$31,014	8.5%	$1,651.71
5370 Gas - Common	$116,470	$109,925	$117,563	$1,093	0.9%	$491.89
5380 Water & Sewer	$194,975	$196,319	$196,854	$1,880	1.0%	$823.66
5390 Telephone/Internet	$77,470	$83,667	$88,233	$10,764	13.9%	$369.18
5400 Advertising	$240,435	$229,542	$236,240	-$4,195	-1.7%	$988.45
5410 Resident Events	$407,972	$409,078	$429,109	$21,137	5.2%	$1,795.44
5420 Office Supplies	$173,703	$162,471	$173,223	-$480	-0.3%	$724.78
5430 Legal & Professional	$282,421	$262,687	$267,817	-$14,604	-5.2%	$1,120.57
5440 Accounting & Audit	$226,856	$228,042	$235,434	$8,578	3.8%	$985.08
5450 Licenses & Permits	$290,888	$296,180	$298,591	$7,703	2.6%	$1,249.33
5460 Management Fee	$285,461	$295,192	$303,014	$17,554	6.1%	$1,267.84
5470 Property Insurance	$274,289	$261,655	$277,774	$3,485	1.3%	$1,162.23
5480 Real Estate Taxes	$178,094	$164,313	$167,957	-$10,137	-5.7%	$702.75
5490 Asset Management Fee	$113,183	$104,493	$111,174	-$2,009	-1.8%	$465.16
5500 Replacement Reserves	$316,876	$338,011	$356,046	$39,170	12.4%	$1,489.73
5510 Roof Repairs	$97,469	$99,005	$104,951	$7,483	7.7%	$439.13
5520 Parking Lot Repairs	$215,802	$218,033	$232,234	$16,432	7.6%	$971.69
5530 Signage	$257,226	$277,063	$287,965	$30,739	12.0%	$1,204.88
5540 Tenant Improvements	$406,863	$428,256	$434,435	$27,572	6.8%	$1,817.72
5550 Leasing Commissions	$174,418	$186,962	$195,385	$20,967	12.0%	$817.51
5000 Gross Potential Rent	$135,272	$135,530	$135,907	$636	0.5%	$568.65
5010 Loss to Lease	$76,220	$76,126	$80,155	$3,935	5.2%	$335.38
5020 Vacancy Loss	$146,221	$150,551	$151,400	$5,179	3.5%	$633.47
5030 Concessions	$144,912	$156,441	$160,971	$16,059	11.1%	$673.52
5040 Bad Debt	$100,069	$100,818	$105,181	$5,112	5.1%	$440.09
5050 Late Fees	$150,621	$160,726	$163,079	$12,459	8.3%	$682.34
5060 Utility Reimbursements	$408,111	$394,865	$408,461	$349	0.1%	$1,709.04
5070 Parking Income	$359,361	$366,866	$377,667	$18,306	5.1%	$1,580.20
5080 Application Fees	$76,444	$72,694	$73,565	-$2,880	-3.8%	$307.80
5090 Pet Rent	$252,005	$245,998	$258,117	$6,112	2.4%	$1,079.99
5100 Laundry Income	$244,529	$240,174	$251,659	$7,130	2.9%	$1,052.97
5110 Cable/Internet Revenue	$157,101	$151,507	$160,565	$3,464	2.2%	$671.82
5120 CAM Reimbursements	$353,792	$334,928	$343,147	-$10,645	-3.0%	$1,435.76
5130 Tax Reimbursements	$41,339	$41,551	$42,454	$1,115	2.7%	$177.63
5140 Insurance Reimbursements	$69,561	$68,758	$70,160	$599	0.9%	$293.56
5150 Percentage Rent	$274,889	$292,803	$307,551	$32,662	11.9%	$1,286.82
5160 Misc. Income	$90,810	$97,107	$102,473	$11,663	12.8%	$428.76

Report generated 07/10/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Operating Performance

Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $383,000 or approximately 23.22 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $472,000, representing a 10.0% increase over the prior year. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

Effective gross income for the trailing period was $66,000, representing a 9.2% increase over the prior year. Debt service coverage ratio was 5.58x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.19% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 20th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Trailing twelve-month occupancy was 95.5% with an average daily rate of $164 and RevPAR indexing above the competitive set.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Trailing twelve-month occupancy was 89.8% with an average daily rate of $164 and RevPAR indexing above the competitive set. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Income and Expense Review

The going-in capitalization rate of 6.36% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.28x on a trailing basis against a covenant minimum of 1.20x. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $222,000 or approximately 20.76 per square foot, with real estate taxes representing the largest line item. Trailing twelve-month occupancy was 88.5% with an average daily rate of $164 and RevPAR indexing above the competitive set.

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The going-in capitalization rate of 7.90% reflects the in-place income and the stabilized occupancy assumption.

Management Commentary

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 96.7% with an average daily rate of $164 and RevPAR indexing above the competitive set. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 5 hours.

Trailing twelve-month occupancy was 91.7% with an average daily rate of $164 and RevPAR indexing above the competitive set. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 95.7% of billed charges, with bad debt of 7.0% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members. Service requests are tracked through a work-order system with an average completion time of 35 hours. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 30 meeting rooms.

Financial Analysis

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. Trailing twelve-month occupancy was 94.8% with an average daily rate of $164 and RevPAR indexing above the competitive set. Operating expenses totaled $157,000 or approximately 37.51 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period. The going-in capitalization rate of 5.70% reflects the in-place income and the stabilized occupancy assumption.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5110 Cable/Internet Revenue	$235,638	$225,417	$239,118	$3,480	1.5%	$1,000.49
5120 CAM Reimbursements	$374,693	$369,799	$377,987	$3,293	0.9%	$1,581.54
5130 Tax Reimbursements	$316,987	$326,404	$329,680	$12,693	4.0%	$1,379.41
5140 Insurance Reimbursements	$61,691	$58,809	$59,905	-$1,786	-2.9%	$250.65
5150 Percentage Rent	$76,759	$78,906	$82,288	$5,529	7.2%	$344.30
5160 Misc. Income	$251,247	$252,538	$268,687	$17,440	6.9%	$1,124.21
5170 Payroll - Management	$108,468	$110,282	$110,851	$2,383	2.2%	$463.81
5180 Payroll - Leasing	$327,382	$315,451	$321,104	-$6,278	-1.9%	$1,343.53
5190 Payroll - Maintenance	$21,079	$22,602	$22,816	$1,738	8.2%	$95.46
5200 Payroll Taxes & Benefits	$81,637	$84,349	$89,809	$8,172	10.0%	$375.77
5210 Repairs - Plumbing	$148,849	$141,403	$144,091	-$4,758	-3.2%	$602.89
5220 Repairs - HVAC	$320,090	$334,426	$357,405	$37,315	11.7%	$1,495.42
5230 Repairs - Electrical	$84,580	$83,640	$88,209	$3,629	4.3%	$369.07
5240 Repairs - Appliances	$385,998	$415,008	$436,350	$50,352	13.0%	$1,825.73
5250 Painting & Decorating	$216,454	$219,411	$219,754	$3,299	1.5%	$919.47
5260 Flooring	$404,650	$422,028	$447,220	$42,569	10.5%	$1,871.21
5270 Make-Ready / Turnover	$366,205	$346,774	$366,046	-$159	-0.0%	$1,531.57
5280 Landscaping Contract	$405,813	$402,046	$409,639	$3,826	0.9%	$1,713.97
5290 Snow Removal	$22,464	$24,205	$24,840	$2,377	10.6%	$103.93
5300 Janitorial	$126,941	$126,303	$127,568	$627	0.5%	$533.76
5310 Pest Control	$87,533	$88,577	$91,482	$3,949	4.5%	$382.77
5320 Trash Removal	$363,395	$350,345	$372,104	$8,709	2.4%	$1,556.92
5330 Elevator Contract	$99,329	$101,678	$105,233	$5,904	5.9%	$440.31
5340 Fire & Life Safety	$97,137	$96,821	$97,309	$171	0.2%	$407.15
5350 Security	$245,126	$243,728	$260,695	$15,569	6.4%	$1,090.77
5360 Electricity - Common	$257,000	$259,046	$264,799	$7,798	3.0%	$1,107.94
5370 Gas - Common	$92,992	$92,749	$93,954	$961	1.0%	$393.11
5380 Water & Sewer	$190,690	$188,502	$195,747	$5,057	2.7%	$819.03
5390 Telephone/Internet	$265,407	$275,623	$275,889	$10,481	3.9%	$1,154.35
5400 Advertising	$280,399	$279,070	$293,698	$13,299	4.7%	$1,228.86
5410 Resident Events	$54,283	$52,115	$54,769	$486	0.9%	$229.16
5420 Office Supplies	$364,946	$342,646	$359,948	-$4,997	-1.4%	$1,506.06
5430 Legal & Professional	$145,081	$140,024	$148,105	$3,024	2.1%	$619.69
5440 Accounting & Audit	$175,093	$169,565	$181,356	$6,264	3.6%	$758.81
5450 Licenses & Permits	$274,057	$292,045	$293,584	$19,527	7.1%	$1,228.39
5460 Management Fee	$344,990	$371,009	$377,918	$32,928	9.5%	$1,581.25
5470 Property Insurance	$40,227	$41,384	$43,017	$2,790	6.9%	$179.99
5480 Real Estate Taxes	$213,435	$230,458	$237,086	$23,651	11.1%	$991.99
5490 Asset Management Fee	$264,959	$260,428	$262,727	-$2,232	-0.8%	$1,099.28
5500 Replacement Reserves	$268,139	$284,152	$296,354	$28,215	10.5%	$1,239.97
5510 Roof Repairs	$273,637	$286,975	$303,587	$29,950	10.9%	$1,270.24

Report generated 07/10/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Valuation Discussion

Effective gross income for the trailing period was $131,000, representing a 13.8% increase over the prior year. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 37 meeting rooms. Operating expenses totaled $10,000 or approximately 38.76 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.76% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.15x on a trailing basis against a covenant minimum of 1.20x. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

Debt service coverage ratio was 5.39x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.99% reflects the in-place income and the stabilized occupancy assumption. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 25 meeting rooms. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 95.6% of billed charges, with bad debt of 7.8% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 21 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 34 meeting rooms. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 88.1% of billed charges, with bad debt of 6.6% of gross potential income. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $324,000 or approximately 11.87 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.97x on a trailing basis against a covenant minimum of 1.20x.

Debt service coverage ratio was 6.12x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $179,000 or approximately 6.29 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

Collections for the period were 88.2% of billed charges, with bad debt of 5.0% of gross potential income. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The manager completes a monthly walk of the property and submits a variance report to the owner by the 38th business day. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 3 meeting rooms. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 7th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 10 additional team members. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

Valuation Discussion

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5480 Real Estate Taxes	$260,609	$254,732	$267,195	$6,587	2.5%	$1,117.97
5490 Asset Management Fee	$390,635	$367,333	$387,173	-$3,463	-0.9%	$1,619.97
5500 Replacement Reserves	$292,553	$292,123	$305,668	$13,115	4.5%	$1,278.94
5510 Roof Repairs	$69,700	$65,914	$68,414	-$1,287	-1.8%	$286.25
5520 Parking Lot Repairs	$234,485	$245,682	$250,003	$15,519	6.6%	$1,046.04
5530 Signage	$247,279	$260,311	$260,759	$13,480	5.5%	$1,091.04
5540 Tenant Improvements	$54,862	$57,304	$59,396	$4,535	8.3%	$248.52
5550 Leasing Commissions	$51,797	$54,640	$57,613	$5,817	11.2%	$241.06
5000 Gross Potential Rent	$388,433	$389,666	$411,425	$22,992	5.9%	$1,721.44
5010 Loss to Lease	$61,622	$65,715	$68,377	$6,755	11.0%	$286.10
5020 Vacancy Loss	$149,341	$139,659	$149,196	-$145	-0.1%	$624.25
5030 Concessions	$97,560	$99,379	$102,763	$5,202	5.3%	$429.97
5040 Bad Debt	$203,138	$198,940	$198,958	-$4,180	-2.1%	$832.46
5050 Late Fees	$318,575	$300,854	$308,979	-$9,596	-3.0%	$1,292.80
5060 Utility Reimbursements	$45,779	$47,884	$47,963	$2,184	4.8%	$200.68
5070 Parking Income	$136,502	$141,201	$142,240	$5,738	4.2%	$595.15
5080 Application Fees	$151,447	$161,222	$168,926	$17,479	11.5%	$706.80
5090 Pet Rent	$68,388	$67,283	$67,843	-$545	-0.8%	$283.86
5100 Laundry Income	$250,395	$239,350	$255,945	$5,549	2.2%	$1,070.90
5110 Cable/Internet Revenue	$323,834	$331,571	$336,856	$13,022	4.0%	$1,409.44
5120 CAM Reimbursements	$388,736	$376,976	$384,586	-$4,150	-1.1%	$1,609.15
5130 Tax Reimbursements	$47,355	$50,260	$50,465	$3,110	6.6%	$211.15
5140 Insurance Reimbursements	$125,778	$120,331	$120,957	-$4,821	-3.8%	$506.10
5150 Percentage Rent	$284,361	$264,105	$280,564	-$3,798	-1.3%	$1,173.91
5160 Misc. Income	$131,715	$127,340	$133,607	$1,892	1.4%	$559.03
5170 Payroll - Management	$112,731	$118,914	$122,130	$9,399	8.3%	$511.00
5180 Payroll - Leasing	$150,960	$155,621	$163,811	$12,850	8.5%	$685.40
5190 Payroll - Maintenance	$376,454	$373,157	$384,310	$7,857	2.1%	$1,607.99
5200 Payroll Taxes & Benefits	$184,755	$187,572	$191,050	$6,295	3.4%	$799.37
5210 Repairs - Plumbing	$318,959	$296,998	$298,508	-$20,451	-6.4%	$1,248.99
5220 Repairs - HVAC	$71,708	$76,867	$79,374	$7,665	10.7%	$332.11
5230 Repairs - Electrical	$251,372	$239,361	$243,589	-$7,783	-3.1%	$1,019.20
5240 Repairs - Appliances	$62,947	$63,972	$67,305	$4,357	6.9%	$281.61
5250 Painting & Decorating	$385,811	$416,093	$442,016	$56,205	14.6%	$1,849.44
5260 Flooring	$271,252	$257,416	$272,821	$1,569	0.6%	$1,141.51
5270 Make-Ready / Turnover	$294,497	$297,541	$309,023	$14,526	4.9%	$1,292.98
5280 Landscaping Contract	$348,282	$374,260	$378,339	$30,057	8.6%	$1,583.01
5290 Snow Removal	$135,804	$137,840	$143,243	$7,439	5.5%	$599.34
5300 Janitorial	$312,188	$333,141	$335,101	$22,912	7.3%	$1,402.10
5310 Pest Control	$185,255	$177,849	$183,055	-$2,200	-1.2%	$765.92

Report generated 07/10/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Operating Performance

Debt service coverage ratio was 7.58x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $30,000 or approximately 19.14 per square foot, with real estate taxes representing the largest line item. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Effective gross income for the trailing period was $323,000, representing a 2.7% increase over the prior year.

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The going-in capitalization rate of 7.29% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.26x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. Operating expenses totaled $366,000 or approximately 10.33 per square foot, with real estate taxes representing the largest line item.

Management Commentary

The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 20 meeting rooms. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Service requests are tracked through a work-order system with an average completion time of 6 hours. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Service requests are tracked through a work-order system with an average completion time of 14 hours. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day.

Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 26 meeting rooms. Debt service coverage ratio was 8.09x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $331,000, representing a 11.2% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Trailing twelve-month occupancy was 88.7% with an average daily rate of $164 and RevPAR indexing above the competitive set. Operating expenses totaled $324,000 or approximately 40.97 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $406,000, representing a 7.0% increase over the prior year. The going-in capitalization rate of 7.03% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. Trailing twelve-month occupancy was 94.5% with an average daily rate of $164 and RevPAR indexing above the competitive set. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Financial Analysis

The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 32 meeting rooms. Debt service coverage ratio was 5.50x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period. Effective gross income for the trailing period was $377,000, representing a 11.3% increase over the prior year.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5370 Gas - Common	$224,082	$220,696	$233,149	$9,067	4.0%	$975.52
5380 Water & Sewer	$34,971	$32,402	$33,900	-$1,071	-3.1%	$141.84
5390 Telephone/Internet	$329,990	$314,500	$319,669	-$10,321	-3.1%	$1,337.53
5400 Advertising	$118,531	$110,593	$116,614	-$1,917	-1.6%	$487.92
5410 Resident Events	$320,144	$314,061	$333,539	$13,395	4.2%	$1,395.56
5420 Office Supplies	$244,225	$237,881	$241,008	-$3,217	-1.3%	$1,008.40
5430 Legal & Professional	$407,602	$377,226	$395,362	-$12,239	-3.0%	$1,654.24
5440 Accounting & Audit	$252,573	$264,682	$269,112	$16,539	6.5%	$1,125.99
5450 Licenses & Permits	$81,951	$76,822	$80,861	-$1,090	-1.3%	$338.33
5460 Management Fee	$276,150	$278,275	$295,668	$19,518	7.1%	$1,237.11
5470 Property Insurance	$54,173	$55,668	$55,969	$1,797	3.3%	$234.18
5480 Real Estate Taxes	$308,763	$288,274	$292,167	-$16,596	-5.4%	$1,222.46
5490 Asset Management Fee	$247,992	$245,958	$258,818	$10,825	4.4%	$1,082.92
5500 Replacement Reserves	$283,409	$301,187	$305,695	$22,285	7.9%	$1,279.06
5510 Roof Repairs	$197,634	$189,404	$199,783	$2,149	1.1%	$835.91
5520 Parking Lot Repairs	$193,947	$194,885	$200,427	$6,480	3.3%	$838.61
5530 Signage	$372,167	$358,908	$367,852	-$4,315	-1.2%	$1,539.13
5540 Tenant Improvements	$82,271	$79,162	$80,877	-$1,394	-1.7%	$338.40
5550 Leasing Commissions	$253,370	$255,182	$264,670	$11,300	4.5%	$1,107.40
5000 Gross Potential Rent	$137,896	$141,907	$143,517	$5,622	4.1%	$600.49
5010 Loss to Lease	$156,762	$161,808	$169,531	$12,769	8.1%	$709.33
5020 Vacancy Loss	$104,342	$104,826	$107,025	$2,683	2.6%	$447.80
5030 Concessions	$34,329	$33,248	$34,575	$246	0.7%	$144.66
5040 Bad Debt	$19,439	$19,620	$20,991	$1,552	8.0%	$87.83
5050 Late Fees	$270,910	$266,250	$278,424	$7,514	2.8%	$1,164.95
5060 Utility Reimbursements	$258,497	$241,013	$246,717	-$11,780	-4.6%	$1,032.29
5070 Parking Income	$123,620	$126,177	$128,906	$5,287	4.3%	$539.36
5080 Application Fees	$117,149	$109,243	$110,543	-$6,606	-5.6%	$462.52
5090 Pet Rent	$84,384	$89,142	$94,918	$10,534	12.5%	$397.15
5100 Laundry Income	$61,726	$60,940	$63,786	$2,060	3.3%	$266.89
5110 Cable/Internet Revenue	$35,864	$37,367	$37,933	$2,069	5.8%	$158.72
5120 CAM Reimbursements	$268,565	$255,150	$269,661	$1,096	0.4%	$1,128.29
5130 Tax Reimbursements	$392,388	$423,224	$428,220	$35,832	9.1%	$1,791.71
5140 Insurance Reimbursements	$302,339	$316,655	$327,757	$25,418	8.4%	$1,371.37
5150 Percentage Rent	$408,013	$412,669	$431,900	$23,887	5.9%	$1,807.11
5160 Misc. Income	$138,463	$142,715	$151,125	$12,662	9.1%	$632.32
5170 Payroll - Management	$293,167	$297,519	$297,675	$4,507	1.5%	$1,245.50
5180 Payroll - Leasing	$244,354	$261,726	$266,098	$21,743	8.9%	$1,113.38
5190 Payroll - Maintenance	$233,232	$226,633	$230,674	-$2,558	-1.1%	$965.16
5200 Payroll Taxes & Benefits	$302,626	$281,820	$301,201	-$1,426	-0.5%	$1,260.25
5210 Repairs - Plumbing	$292,748	$298,641	$318,123	$25,375	8.7%	$1,331.06

Report generated 07/10/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Income and Expense Review

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Net operating income is projected to grow at a compound annual rate of 3.7% over the hold period. Debt service coverage ratio was 5.76x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses. Trailing twelve-month occupancy was 93.0% with an average daily rate of $164 and RevPAR indexing above the competitive set. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

Debt service coverage ratio was 7.04x on a trailing basis against a covenant minimum of 1.20x. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 9 meeting rooms.

Leasing and Marketing

Collections for the period were 95.2% of billed charges, with bad debt of 5.4% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 18 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 24 additional team members. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 30 meeting rooms.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 15 hours. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

Operating Performance

Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. Revenue is driven by transient corporate demand, group business and weekend leisure travel. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.54x on a trailing basis against a covenant minimum of 1.20x. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 9 meeting rooms. Effective gross income for the trailing period was $116,000, representing a 2.7% increase over the prior year.

Effective gross income for the trailing period was $78,000, representing a 11.1% increase over the prior year. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The going-in capitalization rate of 5.90% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.92x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

Collections for the period were 92.4% of billed charges, with bad debt of 7.1% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 9th business day. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Service requests are tracked through a work-order system with an average completion time of 35 hours. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 17 meeting rooms.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 6 meeting rooms. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 19th business day. Service requests are tracked through a work-order system with an average completion time of 46 hours. Collections for the period were 94.3% of billed charges, with bad debt of 7.0% of gross potential income.

Financial Analysis

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5280 Landscaping Contract	$261,412	$246,325	$247,890	-$13,523	-5.2%	$1,037.20
5290 Snow Removal	$289,987	$293,248	$312,543	$22,556	7.8%	$1,307.71
5300 Janitorial	$33,817	$31,904	$32,751	-$1,066	-3.2%	$137.03
5310 Pest Control	$361,693	$356,992	$357,557	-$4,136	-1.1%	$1,496.05
5320 Trash Removal	$211,329	$200,591	$205,652	-$5,677	-2.7%	$860.47
5330 Elevator Contract	$221,921	$222,864	$228,932	$7,011	3.2%	$957.87
5340 Fire & Life Safety	$116,304	$112,028	$115,052	-$1,251	-1.1%	$481.39
5350 Security	$236,633	$233,819	$240,055	$3,421	1.4%	$1,004.41
5360 Electricity - Common	$294,819	$274,945	$290,722	-$4,097	-1.4%	$1,216.41
5370 Gas - Common	$127,626	$118,316	$122,785	-$4,841	-3.8%	$513.74
5380 Water & Sewer	$341,657	$323,768	$332,034	-$9,623	-2.8%	$1,389.26
5390 Telephone/Internet	$382,076	$391,151	$401,785	$19,709	5.2%	$1,681.11
5400 Advertising	$314,318	$291,488	$291,842	-$22,475	-7.2%	$1,221.10
5410 Resident Events	$21,617	$20,168	$21,444	-$173	-0.8%	$89.72
5420 Office Supplies	$30,703	$31,164	$33,104	$2,401	7.8%	$138.51
5430 Legal & Professional	$110,859	$112,069	$115,697	$4,837	4.4%	$484.09
5440 Accounting & Audit	$31,215	$32,019	$33,557	$2,343	7.5%	$140.41
5450 Licenses & Permits	$390,847	$407,478	$412,964	$22,117	5.7%	$1,727.88
5460 Management Fee	$363,301	$335,431	$349,797	-$13,503	-3.7%	$1,463.59
5470 Property Insurance	$99,224	$105,729	$112,421	$13,196	13.3%	$470.38
5480 Real Estate Taxes	$61,420	$60,876	$62,634	$1,214	2.0%	$262.07
5490 Asset Management Fee	$239,508	$231,674	$232,946	-$6,562	-2.7%	$974.67
5500 Replacement Reserves	$352,927	$350,001	$351,928	-$999	-0.3%	$1,472.50
5510 Roof Repairs	$297,031	$315,635	$318,135	$21,104	7.1%	$1,331.11
5520 Parking Lot Repairs	$102,724	$96,408	$98,638	-$4,085	-4.0%	$412.71
5530 Signage	$30,185	$31,173	$32,093	$1,908	6.3%	$134.28
5540 Tenant Improvements	$194,973	$206,062	$215,683	$20,710	10.6%	$902.44
5550 Leasing Commissions	$223,242	$237,085	$237,472	$14,229	6.4%	$993.60
5000 Gross Potential Rent	$341,469	$329,122	$346,977	$5,508	1.6%	$1,451.79
5010 Loss to Lease	$197,176	$200,809	$204,643	$7,466	3.8%	$856.24
5020 Vacancy Loss	$376,943	$401,555	$405,788	$28,845	7.7%	$1,697.86
5030 Concessions	$156,564	$158,360	$159,125	$2,561	1.6%	$665.79
5040 Bad Debt	$190,060	$175,491	$184,479	-$5,581	-2.9%	$771.88
5050 Late Fees	$328,327	$316,992	$319,441	-$8,887	-2.7%	$1,336.57
5060 Utility Reimbursements	$351,776	$372,208	$397,183	$45,407	12.9%	$1,661.85
5070 Parking Income	$123,340	$118,655	$124,197	$857	0.7%	$519.65
5080 Application Fees	$295,387	$301,945	$306,608	$11,221	3.8%	$1,282.88
5090 Pet Rent	$133,994	$139,503	$146,271	$12,277	9.2%	$612.01
5100 Laundry Income	$171,456	$179,775	$192,319	$20,863	12.2%	$804.68
5110 Cable/Internet Revenue	$208,171	$204,782	$210,898	$2,727	1.3%	$882.42
5120 CAM Reimbursements	$113,995	$122,153	$126,274	$12,278	10.8%	$528.34
5130 Tax Reimbursements	$94,135	$98,216	$99,317	$5,182	5.5%	$415.55

Report generated 07/10/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Summary and Notes

Valuation Discussion

Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Effective gross income for the trailing period was $129,000, representing a 4.8% increase over the prior year.

Operating expenses totaled $77,000 or approximately 23.36 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. Debt service coverage ratio was 7.91x on a trailing basis against a covenant minimum of 1.20x. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Trailing twelve-month occupancy was 91.5% with an average daily rate of $164 and RevPAR indexing above the competitive set.

Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 7 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 93.7% of billed charges, with bad debt of 4.9% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. Trailing twelve-month occupancy was 94.5% with an average daily rate of $164 and RevPAR indexing above the competitive set.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 47 meeting rooms. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 30 additional team members. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only